

How agencies being amalgamated by politicians/governance impact on their control of where resources get focused?

Purchasers/funders want to improve outcomes, but they always face resource constraints, as there are never enough resources to achieve all potentially desirable outcomes. Therefore, trade-offs always need to be made between different outcome areas. Using the example of a government with multiple different agencies focused on different outcome areas, politicians can maintain control of such trade-offs by the amount they allocate to each separate agency.

However, because of potential synergies and economies of scale, politicians often consider merging agencies to create mega-agencies. Before they do this, they should always first try the less costly and disruptive Cross-Agency (or Sector) DoView Strategy/Outcomes Diagram Coordination Tool (B19). Whether they have tried this alternative approach or not, they may decide to amalgamate. If they do, they need to realize that they are, to some extent, implicitly delegating to the mega-agencies they are creating, trade-offs that they previously controlled. This delegation is exacerbated by the modern focus on the split between the responsibilities of governance and management, resulting in politicians being unable to get closely involved in agency operations.

Politicians can take various steps to maintain control of resource allocation and the associated trade-offs. First, they can 'ring-fence' spending (this is sometimes done in areas such as traffic enforcement, public health, or mental health). Money is allocated to an agency that has a wider brief, but it is instructed to spend it on a particular outcome area. Second, politicians can set up oversight or advisory boards for an agency to ensure it maintains a focus on a specific outcome area. These bodies' job is to make sure that the agency does not neglect the particular area. Third, DoView strategy/outcome diagrams can be used to make resource allocation and alignment more transparent so that politicians can check that the mega-agency is maintaining the right mix of activity across different outcome areas.

This Delegating Resourcing Trade-Offs When Amalgamating Agencies Risk Checklist (E9) steps decision-makers through these options and shows how they can manage the risks associated with amalgamation.